Recommendation: Buy
Price Target: $106

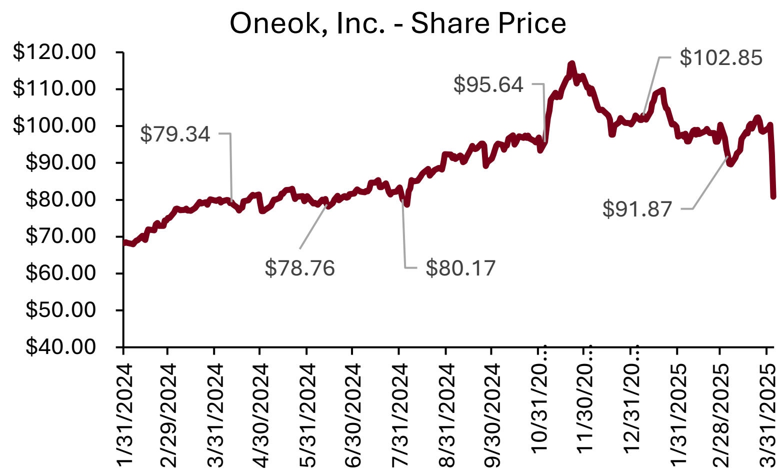
Mihir Patel
+1 (251) 321 5980 | pate1392@umn.edu

ONEOK

NYSE: OKE
April 05, 2025

Investment Thesis:

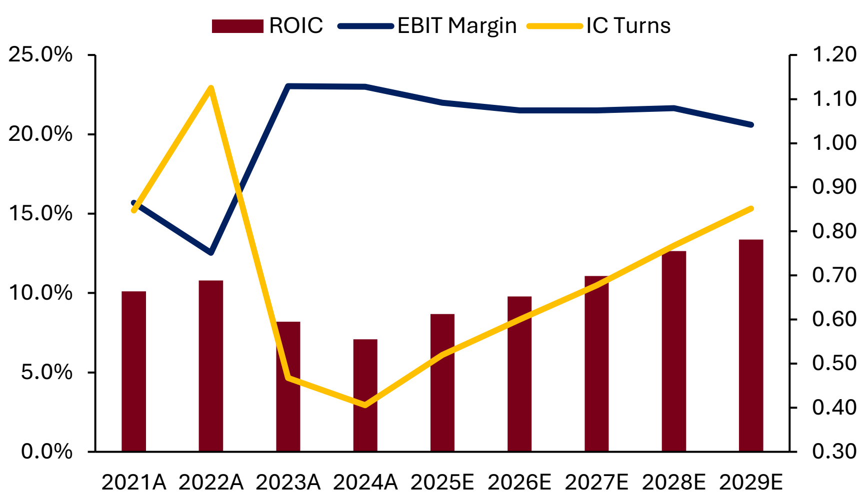
Turning 'Synergy' into 'Energy'—With Every Acquisition, Literally and Figuratively. Oneok, Inc. (OKE), one of the largest midstream service providers in the country, is well positioned for significant growth in capacity and market share as it simultaneously fuels expansion and drives staggering EBIT growth. (1) The recent acquisitions of EnLink and Magellan are expected to augment capacity and diversify the OEK service portfolio. This acquisition will further integrate the Permian oil and NGL value chains while reducing revenue concentration in certain regions. (2) The ongoing growth investments, such as the newly built NGL fractionators and pipeline expansions, will rev up organic growth. (3) The increasing demand for energy to power data centers driven by the AI flair also provides a tailwind for growth. (4) Natural gas, historically, has been less sensitive to economic cycles than oil; this, coupled with the contract-based nature of the business, offers another layer of revenue stability and a foresight into OKE's growth outlook. Considering these factors, **I estimate a fair value of $106**, representing an upside of 31% from the market closing price as of April 7, 2025.



Price	$80
Price Target (+8 Months)	$106
Market Cap.	$50.54B
52W High-Low	$83.85-$75.48

1.

Valuation Analysis:



What's Baked in?

Before we dive into the meat of the matter, let's look at the ingredients the market is using to value the stock at its current price of $80. I do this by creating a reversed model that includes a decay period and ties together the market value at year-end 2024 with the DCF share value. I use the following five drivers of value to determine the core ingredients that the market uses to arrive at the current stock price: revenue growth rate, EBIT margin, EBIT tax rate, IC turns, and terminal growth rate.

The market is currently pricing in a 5-year revenue growth CAGR of 16%, with EBIT margins improving slightly by 130 BPS due to synergies realized from the recent M&A pursuit before starting to deteriorate in 2029. I keep the EBIT tax rate well anchored in the low twenties. Additionally, I model the return of capital to shareholders with a $1.6B share buyback and a dividend payout rate fluctuating between 70% and 80%. Debt repayment is projected at $2.5B, with some current maturities being refinanced, resulting in a leverage ratio of 3.5x in 2026, in line with management guidance. I use a discount rate of 8.8%, which gradually increases to 9.2% by 2029, with a terminal growth rate of 2%.

Recommendation: Buy
Price Target: $106
Mihir Patel
+1 (251) 321 5980 | pate1392@umn.edu

ONEOK
NYSE: OKE
April 05, 2025

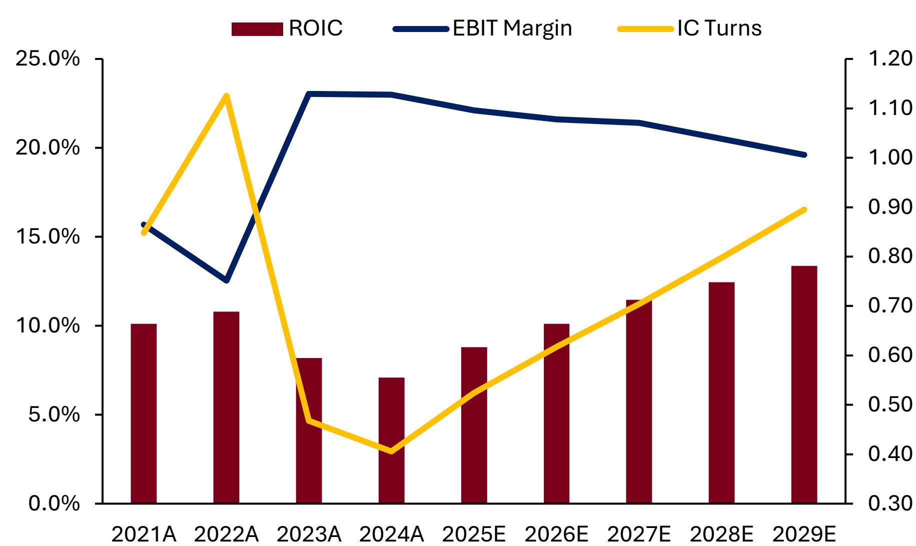
Model Case: Reversed	2025E	2026E	2027E	2028E	2029E
Enterprise Value to EBITDA	12.5x	11.7x	11.0x	9.9x	9.2x
Net Debt to EBITDA	4.0x	3.5x	3.2x	2.8x	2.4x
DCF Share Value / Earnings	18.93x	17.51x	15.59x	13.53x	13.46x
Basic EPS	$5.6	$6.4	$7.6	$9.2	$9.8

Now, I'd like to present my recipe for baking the meat at the right temperature, using a precise mix of spices—a recipe that, when it becomes popular, many will find particularly appetizing, resulting in a convergence of my DCF share value with the market share price.

I model a revenue growth CAGR of 17% over the five-year period starting in 2025, along with a 250 BPS deterioration in EBIT margin over the same timeframe. Revenue growth is driven by a diversified portfolio of services, including increased demand for NGLs and higher revenue from natural gas gathering and processing services. Recent M&A activity provides exposure to LNG Feedgas demand via EnLink's 16.7 Bcf Louisiana gas storage facility, which will help capture increased demand from AI and data centers, as well as growth in the Mexican market. Additionally, Medallion's G&P operations in the Permian Basin will supply volumes to underutilized pipelines in Texas.

I project higher operating and maintenance costs, primarily due to increased pipeline density. As the E&P shifts toward more prolific areas in the Permian Basin, the proximity to data centers will drive demand, resulting in higher maintenance costs. As the rigs age, they will require higher operating costs.

Similar to the reversed case, I keep the EBIT tax rate anchored in the mid-twenties. I also model a return of capital to shareholders through a share buyback of $850M and a dividend payout rate fluctuating between 70% and 80%. I project a significant reduction in leverage by approximately $5.2B. I use a discount rate of 8.9%, gradually increasing to 9.3% by 2029. The terminal growth rate is set at 2%.



Model Case: Base	2025E	2026E	2027E	2028E	2029E
Enterprise Value to EBITDA	12.4x	11.3x	10.7x	10.1x	9.2x
Net Debt to EBITDA	3.9x	3.4x	3.0x	2.6x	2.2x
DCF Share Value / Earnings	18.69x	16.76x	14.96x	13.88x	13.57x
Basic EPS	$5.7	$6.7	$8.0	$9.1	$9.9

Recommendation: Buy
Price Target: $106
Mihir Patel
+1 (251) 321 5980 | pate1392@umn.edu

ONEOK
NYSE: OKE
April 05, 2025

Business Description:

With an annual revenue of $21B, an EBIT margin of 23%, and a pipeline network of approximately 60,000 miles, OKE provides midstream energy services including gathering, processing, fractionation, transportation, storage, and marine export services. The business operations can be divided into four reportable operating segments:

1. **Natural Gas Gathering and Processing**: As the name suggests, this segment gathers raw natural gas from wellheads and transports it through the pipeline network to processing facilities. This segment contributed a total of $4B in revenue in 2024 and has a pipeline network spanning the Rocky Mountains, the Mid-Continent region, the Permian Basin (with increased density due to recent acquisitions), and the North Texas region.
2. **Natural Gas Liquids (NGLs)**: This segment extracts NGLs at its own and third-party natural gas processing plants and transports gas to downstream fractionators. It contributed $15B in revenue in 2024 and provides services to customers in the Rocky Mountain region, Mid-Continent region, Permian Basin, and Gulf Coast region, including Louisiana.
3. **Natural Gas Pipeline**: This segment receives residual natural gas and transports it to end-users. It is expected to see significant growth in the future, driven by the current energy demand from data centers. It contributed $822M in total revenue in 2024.
4. **Refined Products and Crude**: This segment engages in the gathering, transportation, distribution, and storage of raw and refined crude oil. It covers a 15-state area across the central and western United States and operates the longest refined product carrier pipeline in the United States. It contributed about $4B in revenue in 2024.